

FRVO

FRVO N/A

Buy	\$35.09 ▼ 3.84%	12M Price Target \$45.00	52-Week Range \$32.39 – \$42.65	Market Cap \$10.32B
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FRVO: Geothermal Story Intact, Just Taking a Breather

WHAT'S CHANGED

- Stock dropped about 4% yesterday to \$35.09 — nothing company-specific, just giving back some of Wednesday's 7.6% pop. Looks like traders taking profits after a volatile week.
- Someone bought a chunky block of \$30 puts expiring in July (1,074 contracts, 7x the normal open interest) — that's a bet the stock could drop another 15% in the next month, OR someone hedging a big long position.

IMPLICATIONS

FRVO is sitting near the bottom of its 52-week range (only 26% of the way up from the low) even though the geothermal story is getting louder — Wall Street just initiated coverage bullishy two weeks ago, and a hot geothermal IPO last month proved investors want exposure to this theme. The price action this week looks more like noise than a fundamental shift. For holders, the unusual put buying is worth watching but not panicking over — it's roughly \$200K notional, which is a rounding error.

VALUATION

At a \$10.3B market cap on maybe \$285M of 2026 revenue, you're paying about \$36 for every \$1 of sales — that's expensive for a company still losing money, but cheap if you believe revenue triples by 2028 as their Cape Station project ramps. The bull case sees them as the "Tesla of geothermal" powering AI data centers; the bear case says they're a pre-revenue science project trading like a tech stock. I see 25-30% upside to \$45 over 12 months if execution stays on track.

KEY RISKS

- They're burning cash to build power plants — drilling wells is expensive, and they'll almost certainly need to raise more money, which means issuing new shares and diluting you.
- The whole thesis depends on big tech (Google, Microsoft, Meta) signing long-term power deals for AI data centers. If AI capex slows or hyperscalers pick solar/nuclear instead, the growth story cracks.
- Geothermal is technically hard — one bad well or project delay at their flagship Utah site could spook the market and tank the stock 20%+ in a day.

RECENT NEWS

Lyft upgraded, Leidos downgraded: Wall Street's top analyst calls The Fly · 2026-06-17 13:47

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up Investing.com · 2026-06-08 18:01

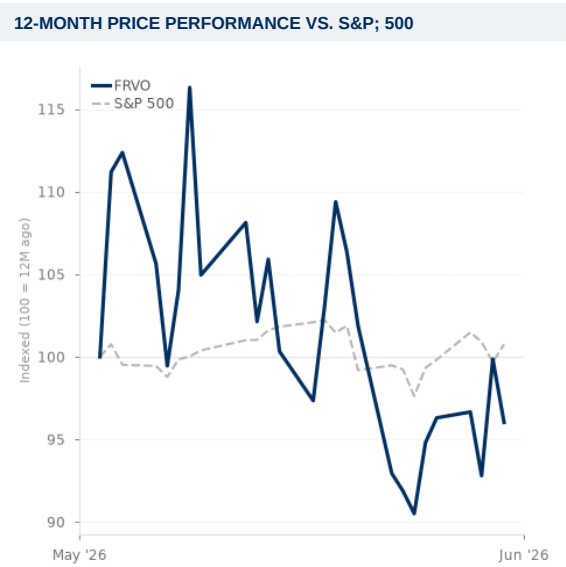
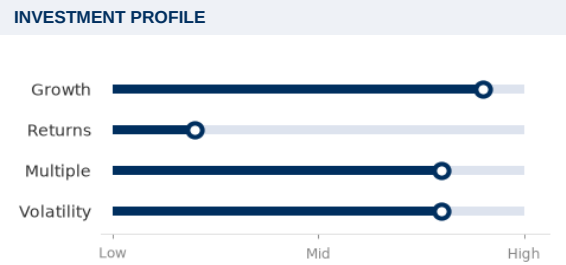
A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

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AI-Generated Pre-Market Brief | 2026-06-19 18:34 UTC

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Key Data	
Price (USD)	\$35.09
12M Price Target	\$45.00
Upside / (Downside)	+28.2%
Market Cap	\$10.32B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$39.00	\$36.00	\$32.00
6 Months	\$48.00	\$40.00	\$30.00
1 Year	\$58.00	\$45.00	\$28.00
2 Years	\$80.00	\$55.00	\$25.00
5 Years	\$150.00	\$90.00	\$20.00
10 Years	\$300.00	\$150.00	\$15.00

SECTOR INTELLIGENCE

HEATING UP: Tech (+3% today, +4.5% this week) and Industrials are getting bid — that's the AI infrastructure trade in full swing. Utilities are quietly grinding higher too.

COOLING OFF: Real Estate and Communication Services are lagging — money is leaving anything rate-sensitive or boring.

ROTATION WATCH: Cash is flowing into AI infrastructure plays — chips, power, cooling, data centers. FRVO sits at the intersection of utilities and AI infrastructure, which is exactly where the smart money is hunting right now.

RELATED PLAY: If FRVO works, the drilling service companies and grid-equipment makers (think Eaton, Quanta Services) also benefit. Nuclear plays like CEG and VST are the bigger, more liquid version of this same "power the AI boom" trade.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Crushing it as the go-to nuclear-for-AI play — hyperscalers are signing massive power deals.
- VST (Vistra): Same playbook as CEG, up huge on AI data center power demand.
- GEV (GE Vernova): Selling the picks and shovels (turbines, grid equipment) to everyone building out power capacity.

FRVO CONTEXT: FRVO is lagging the big nuclear/power names because it's smaller, pre-profit, and less proven. But that's also the opportunity — if geothermal gets its "moment," FRVO catches up fast.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$33-35 on pullbacks

Time Horizon: 18-36 months

Thesis Invalidation: Project delays at flagship sites, loss of hyperscaler power purchase agreements, or capital raise at deep discount

Hedging: Pair with a profitable utility name or short a richer clean-energy peer